

■ By Shankkar Aiyar and Varghese K. George

Boy scouts and trekkers follow a magic mantra when lost in the woods. Turn left and keep turning left till you reach the original spot. The Congress too believes in the mantra, having turned left periodically since the 1960s when Indira Gandhi nationalised the banking sector before launching the *garibi hatao* campaign. Last week when Prime Minister Manmohan Singh spoke to, nay chided, corporate chieftains for living lavish in-your-face lifestyles amidst deprivation, he seemed to signal a left turn again. Indeed, twice within a month, the prime minister launched a broadside seemingly on behalf of the have-nots. Earlier this month, he asked researchers, "If we were encouraging crony capitalism?" And then at the CII annual general meeting, he quoted John Maynard Keynes and advised the pin-stripe brigade to "eschew conspicuous consumption; to save more and waste less; to care for those who are less privileged." He could have invoked Max Weber too or rapped corporate India of being followers of Milton Friedman's diktat of profit being the only social responsibility of business.

Singh, though, was not engaging the CEOs in a debate on the nature of capitalism being practised. The outrage stemmed from the inability of the father of reforms to negotiate his way through the den of patronage politics to push through the ideal of inclusive growth. For three years in a row, the economy has grown at an astounding 8.5-plus per cent but the benefits do not seem to have percolated to the bottom of the pyramid. Industry has grown at over 12 per cent but job creation has not kept pace. Sure, there has been some trickle-down effect but the asymmetry of information and opportunity in the society has enriched some while leaving many gaping aghast. As Panchayati Raj Minister Mani Shankar Aiyar said so eloquently, "I fear that a government that is attempting to have

an economic policy for the *aam aadmi* may not get the *aam aadmi*'s endorsement." The reason CPI(M) General Secretary Prakash Karat believes is that "there is a basic flaw in the approach. Over the years, it is the neo-liberal policies which have led to a highly iniquitous system and institutional inequalities."

Ideology apart, there is some truth in the assertion. Fact is while the private sector has used the enabling policies to prosper, sectors where the government is involved—from agriculture to education to urban renewal—the governance mechanism has failed to deliver. Sure, the Government has increased spend on the social sectors to improve access to education and facilities. Allocations in agriculture, education, health, rural development, water and roads have gone up from Rs 38,665 crore in 2003-04 to Rs 1,01,772 crore in 2007. But there is little evidence that this has reached the target population or is making the necessary impact. When the United Progressive Alliance

(UPA) regime came into power, it had listed delivery mechanisms for social sector spending as its first priority. Yet, 36 months later there is little evidence of any mechanism that ensures accountability. Take the issue of inflation. World over inflation control is achieved by a combination of supply and demand management. Countries ensure supplies and depend on competition to keep prices down. But in India the abject failure of the food and agriculture ministries to restructure the sectors has resulted in a near permanent scarcity.

That, though, is not the only area of failure. Barring the partial implementation of the National Rural Employment Guarantee (NREG) scheme and the introduction of the Right to Information Act, the UPA has failed to deliver on every major promise that would have enabled inclusive growth (*see chart*). The crux of the matter is in the manner in which the coalition has come to be. The real political power—Sonia Gandhi and the Left—is outside the government. So those with a desire to prove—be it Lalu Prasad in the rail-

"Resist excessive REMUNERATION to promoters and senior executives."

MANMOHAN SINGH
PRIME MINISTER

UNFINISHED PROGRESSIVE AGENDA

Even after 3 years in power, the UPA is unable to push its ideas

NATIONAL RURAL EMPLOYMENT GUARANTEE SCHEME

Expanded from 200 to 330 districts, but Left is unhappy over allocations

RIGHT TO INFORMATION

Delivered despite resistance but now derailed and diluted by babudom

RURAL CO-OPERATIVE CREDIT SECTOR OVERHAUL

Stuck in a maze of committees that abound in the UPA regime

QUOTA IN PRIVATE EDUCATIONAL INSTITUTIONS

Under judicial scrutiny, a promised legislation is hanging in balance

RESERVATION FOR DALITS IN PRIVATE SECTOR

GoM called for amendment in Constitution, dialogue with industry in a fix

WOMEN'S RESERVATION BILL

Trapped in coalition politics, with RJD opposing the move

STRENGTHENING OF PDS

Leakage worsens even as the Planning Commission is yet to fix it

LAW AGAINST COMMUNAL VIOLENCE

Draft ready but the Left finds the provisions inadequate and unacceptable

RIGHT TO EDUCATION BILL

Idea is dead as state governments are unwilling to share costs

NEW DEAL FOR MINORITIES

Sachar Committee report out but no deal in sight as yet